

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 6, 2023

Lisa Hubbard
Chief Operating Officer
Wells, Walsh and Martinez

Dear Ms. Hubbard:

We are glad to take on the funding policy study for Wells, Walsh and Martinez, and this letter records the terms so that both offices work from the same document. It states what we will study, who will do the work, the fee, and the standards we hold ourselves to. Please read it. If it matches your understanding, sign where shown and we will begin.

What We Will Study

A funding policy is the set of rules by which a plan is funded over time: the contribution it aims at each year, the way gains and losses are spread, and the margins it holds against experience that turns out worse than expected. Our study examines the policy the plan has in place today and measures how it behaves when the future does not cooperate.

We will carry the current policy forward under a range of economic and demographic outcomes and set out the choices open to the board if it decides to change course. We do not hand you a single answer dressed up as the only one. We show what each choice costs, what risk it carries, and where the trade-offs sit, so the board can decide with the numbers in front of it.

One discipline runs through everything we deliver. We keep three things apart: what the data show, what we have assumed because no one can measure the future, and what we conclude from the two. The report is built that way, section by section, so a reader can weigh each assumption on its own and see exactly which conclusions rest on it. The work is performed under the Actuarial Standards of Practice that govern a study of this kind, and the report will name the standards it relies on.

The study has four parts, and the report will document each of them:

- The current funding policy and the plan provisions it serves, read as they are written today.

- The participant and asset data your office provides, which we reconcile and rely upon, with that reliance stated plainly in the report.
- A set of projections that carry the policy forward under several economic and demographic scenarios, so its behavior is shown and not merely asserted.
- A written report and a workbook of supporting exhibits, arranged so that every figure can be traced back to its source.

The Data Behind the Study

A study of this kind is only as sound as the records under it. We will rely on the census and asset information your office provides, and we will reconcile it before we use it. We do not audit your data, and the report says so; what we do is check it for internal consistency and against the prior year, and document what we relied on. We will compare this year's census against last year's, member by member where it matters, and raise anything that has moved in a way we cannot explain. Where a record is unclear, we come back to you rather than guess at it.

Who Will Do the Work

Michelle Banks, an actuarial associate in our firm, will handle the data intake and the preliminary calculations, and she will be your day-to-day contact for the questions that come up as the work runs. David Sherman, a senior analyst, will build the projection workbook and document the data behind every exhibit. I will review the work and sign the report, and I carry the professional responsibility for the opinion it states. The division of labor keeps one person accountable for each part of the work, and it keeps the reliance on your data in the hands of the people closest to it.

Fee and Start

Our fee for the study is a fixed fee of \$32,500, covering the work described above, the written report, and the workbook of exhibits. If the scope changes in a way that matters, we will agree the change and any adjustment with you in writing before we do the added work. Subject to your signature on this letter, we will begin on April 16, 2023, and our first step will be to request the census and asset records and confirm the plan provisions we are to study.

Invoicing and Payment

We invoice monthly for the prior month's work, and each invoice is due within thirty days of its date. If a question about an invoice comes up, tell us and we will settle it before it becomes a dispute.

Term and Termination

This agreement takes effect on the date you sign below and runs until we deliver the report and you have paid our final invoice for it. Either of us may end it earlier on written notice to the other. If it ends before the study is finished, you will owe us for the work done to that point, and we will hand over what we have in a form you can use.

Confidentiality

Everything you share with us stays confidential and is used only for this study. Access inside the firm is limited to the people named above and to anyone whose work on the projections requires it. We will not take your information outside the firm without your consent, unless the law or our professional standards compel it, and in that case we will let you know unless we are barred from doing so.

Limitation of Liability

Whatever the theory of the claim, in contract or in negligence, our total liability under this engagement is capped at the fees you pay us for it, except where our own fraud or willful misconduct is involved. Neither side will owe the other for indirect or consequential loss. Any claim must be brought within one year of the day we deliver the report.

Governing Law

The law of the state in which our office sits governs this agreement, set aside its conflict-of-laws rules. Should a disagreement arise, we will first put it to a conversation between people on each side who have the authority to resolve it, before either of us takes it further.

If this all matches what we discussed, sign both copies where indicated, keep one for your files, and send the other back to me. If any part of it reads differently from what you expected, call me first and we will straighten it out before you sign. We are glad to take this on, and it will have the care a funding decision of this size calls for.

Sincerely,

Robert Lawrence

Managing Actuary

Date: April 6, 2023

Lisa Hubbard

Chief Operating Officer, Wells, Walsh and Martinez

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